3.7.8 Payback and average rate of return

Unit 3.7 Analysing the strategic position of a business · 7 key points

- **Payback:** time taken for net cash inflows to repay the initial cost
- **Payback in the middle of a year:** amount still needed ÷ that year's net inflow
- **Average rate of return (ARR):** average annual profit ÷ initial cost × 100
- **Average annual profit:** (total net inflows − initial cost) ÷ number of years
- **Trap:** subtract the initial cost before working out ARR
- **Payback strengths:** simple, focuses on cash and risk
- **Payback weakness:** ignores cash after payback and profitability